



MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2024/2025

**THIRD YEAR FIRST SEMESTER EXAMINATIONS FOR THE
DEGREE OF BACHELOR OF SCIENCE IN ACCOUNTING AND
FINANCE WITH INFORMATION TECHNOLOGY**

MAIN CAMPUS

BAF 309: AUDITING I

Date: 24th January, 2025

Time: 3.30 - 6.30pm

INSTRUCTIONS:

- DO NOT write anywhere on this question paper
- Answer question ONE and any other TWO
- Marks allocated to each question are shown at the end of the question.



QUESTION ONE (COMPULSORY)

- a) Adani Kenya Ltd. was formed on 1 October 2021 in order to export tea and coffee to European markets. The Directors are unsure as to their responsibilities and the nature of their relationship with the external auditors. The audit partner has asked you to visit the client and explain to the directors, the fundamental aspects of the accountability of the directors and their relationship with the auditor.

Required:

Explain to the directors of Adani Kenya Ltd;

- i. The need for an audit (2 marks)
 - ii. Procedures for the appointment of an auditor of a public company under the Companies Act. (2 marks)
 - iii. Directors responsibilities in relation to the accounting function of the Company. (2 marks)
 - iv. Auditors' statutory responsibilities in relation to the audit of the company's financial statements. (2 marks)
- b) Distinguish between;
- i. Interim audit and final audit (2 marks)
 - ii. Audit Planning and Audit Program (2 marks)
 - iii. A "permanent audit file" and a "current audit file". (2 marks)
 - iv. Error and fraud (2 marks)
- c) A member of a profession owes duty to the public including the employer, the profession itself and to other members of the profession. Profession (4 marks)
- d) Professional ethics are rules of conduct that govern the behavior of an accountant. In Kenya, they are issued by institute of Certified Public Accountants of Kenya (ICPAK) in form of statements and explanatory notes. Briefly explain **FOUR** professional ethics that the auditor is expected to adhere to. (4 marks)
- e) Enumerate **SIX** contents of an audit engagement letter. (6 marks)

(Total: 30 marks)

QUESTION TWO

- a) Audit planning process allows the audit senior to acquire adequate knowledge about the entity. This process ensures an effective control and review of audit work.
- Explain the auditor's planning process when planning for an audit of a new client. (5 marks)
 - How does audit planning assist in the conduct of an audit? (3 marks)
- b) In reference to International Standard on Auditing (ISA 230) "Audit documentation", explain the **TWO** main objectives of preparing audit working papers. (4 marks)
- c) Computer security is of vital importance not only to the accountant in industry but also to the accountant in practice who may be advising his client as to suitable security controls or who may be auditing a computer system. Security is the means by which losses are controlled and therefore involves the identification of risks and the institution of measures to either prevent such risks entirely or to reduce their impact.
- State **FOUR** areas of risk which may arise in relation to a computer system and in each case explain one factor which could lead to the system being exposed to such risk. (4 marks)
 - Describe the different forms of control which should be instituted to safeguard against computer security risks. (4 marks)

(Total: 20 marks)

QUESTION THREE

- a) The Auditors Operational Standard requires the auditor to obtain 'relevant and reliable audit evidence sufficient to enable him to draw reasonable conclusions therefrom.

Required:

- What is audit evidence? (2 marks)
- Explain the meaning of the following terms;
 - Relevant audit evidence (2 marks)

ii. Reliable audit evidence (2 marks)

iii. Briefly explain **FOUR** ways of gathering audit evidence. (4 marks)

b) Mzalendo is an ordinary shareholder in Mizani Ltd. He has instituted a criminal liability case against the auditors of Mizani Ltd. as a result of his reliance on the information presented in the company's audited financial statements.

Required:

i. Highlight **FOUR** actions by an auditor that could make him criminally liable under the Companies Act in your jurisdiction. (4 marks)

ii. Describe **THREE** circumstances that Mzalendo is required to prove against the auditors for a successful criminal liability case under the Companies Act in your jurisdiction. (6 marks)

(Total: 20 marks)

QUESTION FOUR

a) Auditors use assertions in assessing risks by considering potential misstatements that might occur and thus designing audit procedures that respond to each risk. List and describe any **FIVE** financial statement assertions, other than completeness, used by auditors in the audit of financial statements. (10 marks)

b) You are the audit manager at Jirani and Associates, Certified Public Accountants. Your firm has been appointed to audit Madawa Ltd., a company that deals with manufacture and distribution of pharmaceutical equipment, for the year ended 31 December 2023. The company has been the main supplier of pharmaceutical equipment in the region. During the last one year, a competitor who is a low-cost producer has emerged and has taken up most of the customers of Madawa Ltd. Pona Ltd., who is the main supplier of raw materials to Madawa Ltd., has been declared bankrupt by a court of law. Due to the stiff competition the company has been facing, the directors have issued a profit warning to the shareholders. During the year ended 31 December 2023, three top level managers resigned. The company has since, not managed to replace them due to the specialist nature of their roles. It is anticipated that a new

manufacturing tax of 10% per annum will take effect from 1 July 2024.

Required:

- i. Explain **FIVE** matters that could cast doubt on the going concern of Madawa Ltd. (5 marks)
- ii. Examine **FIVE** audit procedures your audit firm would perform to assess whether the company is a going concern. (5 marks)

(Total: 20 marks)

QUESTION FIVE

- a) Curate Ltd. has been experiencing challenges in its internal audit department with a high staff turnover rate. There are also glaring cases of fraud being identified by the external auditors which the internal auditors had not identified. The chief executive officer has suggested to the board of directors that they should consider outsourcing the internal audit function.

Required:

- i. Advise the board of directors of Curate Ltd. on **FOUR** benefits that could accrue to Curate Ltd. from outsourcing the internal audit function. (8 marks)
 - ii. Analyse **FOUR** implications of outsourcing the internal audit function on the work of the external auditor. (4 marks)
- b) Describe **FOUR** types of an audit opinion that an auditor could issue. (8 marks)

(Total: 20 marks)